

ANDHRA PRADESH'S

NEW PUSH TO BUILD WOMEN ENTREPRENEURS

With credit, skills, technology and market access coming together, Andhra Pradesh is taking its women's self-help group movement from livelihood support to enterprise creation and sustainable growth.

For decades, women's self-help groups (SHGs) have been a powerful instrument of social and economic transformation in Andhra Pradesh. Today, the state is seeking to take that movement a step further—by turning women who have traditionally operated small livelihood activities into entrepreneurs capable of building, scaling and sustaining businesses.

The foundation is formidable. Andhra Pradesh's rural community network comprises 26 Zilla Samakhyas, 660 Mandal Samakhyas and 27,875 Village Organisations, connecting 8.32 lakh SHGs and 84.68 lakh members. In urban areas, the network covers another 2.75 lakh SHGs and 24.75 lakh members through urban federations.

The state's emerging enterprise strategy seeks to use this vast network not simply for welfare delivery, but as an institutional platform for enterprise identification, financing, training, formalisation and market access.



WOMEN AT THE CENTRE OF ENTERPRISE CREATION

At the heart of the strategy is a detailed livelihood profiling exercise. During January-February 2026, 1.5 lakh e-Nari Community Resource Persons participated in a state-wide livelihoods survey to understand household income, existing livelihoods, skills and consumption needs. The exercise is being used to prepare individual Micro Credit Plans and match women with suitable enterprise opportunities and financing sources.

The scale of the opportunity is clear. Of the 83.87 lakh rural SHG members profiled, 42.89 lakh women were in the below-₹1 lakh annual income category. At the same time, the survey identified strong potential in agriculture, livestock, services, trading and manufacturing.

Overall, 33.58 lakh women opted for income-generation activities, requiring an estimated ₹47,369.61 crore in finance. Agriculture accounts for the largest requirement, followed by services, trading and livestock. The broader finance requirement, including consumption needs, has been estimated at ₹67,904 crore.

For 2026-27, the state has envisaged a ₹60,000 crore directed-credit framework, combining bank finance with Stree Nidhi, Community Investment Funds, UNNATHI, SHG internal lending, NRLM and central schemes. Of this, ₹32,000 crore is projected as bank linkage for livelihoods and enterprise creation, while Stree Nidhi has a ₹12,000 crore allocation, including a ₹3,000 crore dedicated line for women entrepreneurs.

RESPONSIBLE CREDIT: KEEPING NPAS UNDER CHECK

An important feature of the new approach is the emphasis on credit discipline and NPA minimisation.

The government's framework proposes that financing be matched to the individual livelihood profile, the nature of the enterprise, its risk and margins. Instead of relying on a single source of funding, an enterprise can use a calibrated combination of SHG savings, Community Investment Fund, Stree Nidhi, bank credit and subsidies, depending on its stage of development.

Technology is being used to strengthen monitoring. The process includes digital Micro Credit Plans, online bank linkage, online sanctions, ground-tagging of assets, beneficiary authentication and real-time tracking. The stated objective is a fully digital, paperless system that enables closer monitoring from credit sanction to the grounding of the enterprise.

The UNNATHI programme provides another example of the focus on responsible lending. For